

realize you think is crazy. But I want you to know that if I am successful in what I am working on right now, I will do very well with it. I don't want you to think that I'm doing this just to make money. The really great thing about what I'm doing now is that if I am that good at applying predictive modeling, I will be able to generalize the same approach into science. So I won't just be a trader, even if I am very successful at it. And the more successful I am at it, the better the chance it will generalize to science."

Did you ever apply it to science?

I have set up a foundation called the Quantitative Foundation. The long-term plan is to improve statistical prediction methodologies and software. I prefer the terms *statistical prediction* or *statistical learning* to *data mining*, which has deservedly earned a negative connotation through its misuse.⁵ We haven't done much so far, but we didn't plan on doing anything yet, since we are still in the phase of making money from our edge in these techniques, as opposed to going out and building software for scientists. We want to build the software so that it is not a gift to our competitors.

How do you get around the problem that if you supplied the software for scientific applications, other people could use it as a predictive tool in the financial markets, which would presumably reduce the edge you are currently profiting from?

It is going to take a number of years to develop the generalized software from the time we fully engage in this endeavor—possibly as long as five years or more. Maybe by that time, QIM will be closed for some reason. If QIM were to go through a long stretch of poor performance, and we decided to close it down, it wouldn't invalidate the predictive modeling techniques I have come up with. In some ways, it would actually validate them by showing that it was possible to have an edge for many years, and finally other people caught up and found the same things we did and knocked those inefficiencies out of the market. That would probably be a good time to offer predictive software for more general use. But it is not a question I have to grapple with now because I am nowhere near the goal of having generalized predictive modeling software to provide to